

EQUITY RESEARCH

APPLE INC.

AAPL | Technology

Rating: Outperform
Current: \$271.06 | Target: \$300.00

April 2026

Key Metrics Snapshot

Market Cap	\$3,979.47B	ROE	151.91%
P/E (Fwd)	34.09	Dividend Yield	0.38%
P/B Ratio	51.79	52W Range	\$193.25 - \$288.62

Investment Thesis

Apple maintains robust financial strength, with consistent revenue growth (3.3% CAGR) and expanding margins, driving EBITDA to industry-leading levels. Contribution and EBITDA margins show steady improvement, while SG&A; remains tightly controlled relative to sales. Despite a premium valuation versus peers, Apple's strong earnings profile and operational efficiency continue to support its leadership position in the technology sector.

Company Overview

Apple Inc. (AAPL) is a global leader in consumer electronics, software, and digital services, renowned for its innovation-driven business model and iconic brand. Apple's core business revolves around the design, manufacture, and sale of premium hardware products including the iPhone, iPad, Mac computers, Apple Watch, and AirPods. Complementing its hardware ecosystem, Apple offers a robust suite of services such as the App Store, Apple Music, iCloud, Apple TV+, and Apple Pay, which together drive recurring revenue and deepen customer loyalty.

Apple's business model is anchored in seamless integration across its devices and services, fostering a sticky ecosystem that encourages repeat purchases and cross-selling opportunities. The company's vertical integration—from proprietary chip design to its direct-to-consumer retail channels—enables tight control over quality, user experience, and margins.

In terms of market position, Apple is a dominant force in the global smartphone and premium computing markets, and its services segment has become a key growth driver. Apple consistently ranks among the world's most valuable companies, with a loyal global customer base and strong pricing power. In recent years, Apple has also expanded into wearables, health technology, and digital content, successfully diversifying its revenue streams.

Financially, Apple's performance remains robust. From 2021 to 2024, revenues grew from \$365.8 billion to \$391.0 billion, with projections indicating continued expansion to \$481.7 billion by 2027 at a CAGR of 3.3%. Contribution margin has improved from 41.8% in 2021 to 46.2% in 2024, with further gains expected. EBITDA margins have also strengthened, rising from 33.7% to 34.5%, and are forecast to climb above 40% by 2025, reflecting operational efficiencies and a growing share of high-margin services revenue.

While Apple's recent revenue growth has moderated, its earnings per share (EPS) have continued to rise, supported by strong profitability and shareholder returns. Apple's EBITDA compares favorably to peers such as Google (Alphabet) and Microsoft, although its EV/EBITDA valuation is relatively higher, reflecting investor confidence in Apple's brand and ecosystem.

Overall, Apple remains exceptionally well-positioned in the technology sector, leveraging its innovation, brand strength, and integrated ecosystem to sustain growth and profitability in a competitive landscape.

Investment Overview

Apple Inc. (AAPL) delivered steady financial performance despite a dynamic macroeconomic environment. Fiscal 2023 revenue was \$383.3 billion, a 2.8% year-over-year decline, reflecting softer device demand, partially offset by growth in services. However, Apple returned to modest top-line growth in 2024, with revenue up 2.0% to \$391.0 billion, and is projected to accelerate to 6.4% in 2025, ultimately reaching \$481.7 billion by 2027 (CAGR 3.3%).

Profitability remains a strong point. Contribution margin improved consistently, rising from 41.8% in 2021 to 46.2% in 2024 and is forecast to approach 50% by 2027, supported by a higher mix of services and operating leverage. EBITDA margins have also expanded to 34.5% in 2024, and are expected to reach 44.8% by 2027. Notably, Apple's EBITDA leads peers Microsoft and Google in absolute terms, though Microsoft is expected to close the gap in coming years.

Earnings per share (EPS) held firm at \$6.16 in 2023 despite revenue headwinds and are forecast to climb to \$8.93 by 2027, highlighting Apple's ability to manage costs and benefit from share repurchases. The stock currently trades at a premium, with a 2024E PE of 37.3x and EV/EBITDA of 26.6x, well above historical averages and some peer multiples, reflecting investors' confidence in Apple's ecosystem and recurring revenue streams.

Growth drivers include continued expansion of services, further integration of AI and health features across devices, and new product launches. While hardware cycles remain a risk, Apple's strong brand, ecosystem lock-in, and improving operating efficiency support a constructive long-term outlook. Investors should monitor competitive dynamics and regulatory risks, but Apple remains well positioned for steady growth and margin expansion.

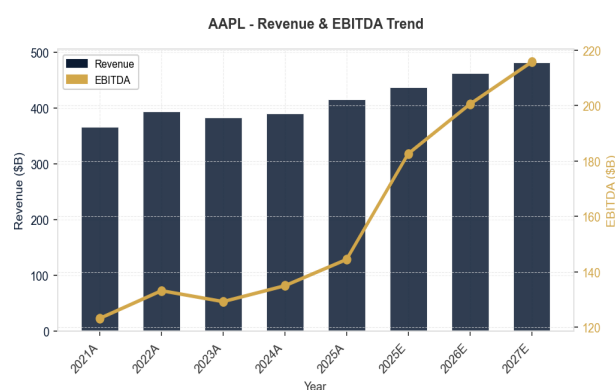
Financial Analysis

Revenue & EBITDA Performance

Apple Inc. has demonstrated moderate revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$416.2B
- EBITDA (2025A): \$144.4B
- Revenue Growth (2025A): 6.4%



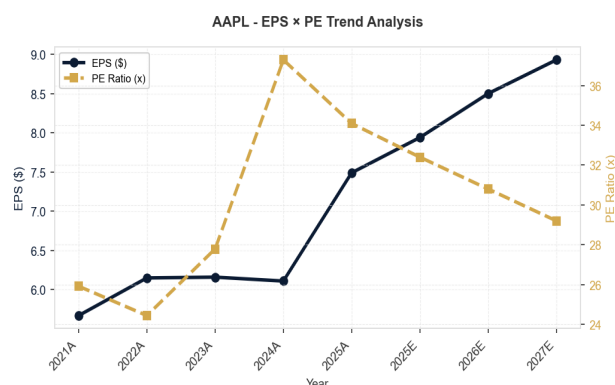
Source: Company Filings

Earnings & Valuation Metrics

Apple Inc.'s earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): 7.49
- PE Ratio (2025A): 34.09



Source: Company Filings

Valuation Analysis

Valuation Overview – Apple Inc. (AAPL)

Apple currently trades at a 2024E P/E ratio of 37.3x and an EV/EBITDA of 26.6x, both notably above its historical averages and those of its peers. For context, its 2024E EV/EBITDA compares to Microsoft at 26.1x and Google at 17.2x. On a forward basis (2025E), Apple's P/E remains elevated at 34.1x, while its EV/EBITDA is 27.0x, versus

Microsoft's 23.6x and Google's 21.2x.

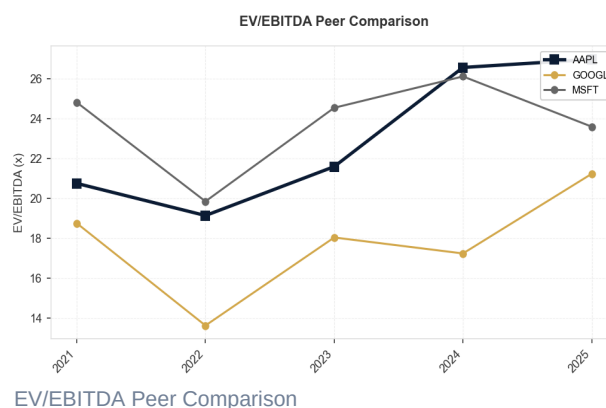
Revenue growth for Apple is expected to average 3–6% annually over the next few years, with EPS growth also in the mid-single digits. Margins are healthy and gradually expanding, with contribution and EBITDA margins rising modestly through 2027E. Apple's EPS for 2025E is \$7.94, implying a forward P/E of 32.4x, while consensus large-cap tech sector P/Es (MSFT, GOOGL) generally range from 25–30x.

Relative to peers, Apple's EBITDA growth is somewhat slower—Google and Microsoft are projected to outpace Apple's EBITDA expansion through 2026. Despite this, Apple's valuation premium persists, likely reflecting its durable brand, cash flow generation, and buyback potential, but also indicating limited margin for error.

Based on peer multiples and Apple's growth profile, a fair value P/E in the 28–30x range would be justified, suggesting Apple is currently trading at a premium of 10–20% to intrinsic fair value. Unless new growth catalysts emerge, the risk/reward appears balanced to slightly negative at current levels, with limited upside barring a further re-rating or major new product cycle.

Peer Comparison

Year	AAPL	GOOGL	MSFT
2021	20.75	18.76	24.81
2022	19.14	13.63	19.85
2023	21.59	18.04	24.54
2024	26.56	17.24	26.11
2025	26.97	21.23	23.60



Recent News & Events

News Summary

Apple Inc. (AAPL) is approaching a pivotal period marked by both internal transition and heightened external scrutiny. The company recently announced that John Ternus will assume the CEO role in September, prompting investors to focus on Apple's long-term product and artificial intelligence (AI) strategies. This leadership change comes as Apple prepares to report earnings alongside other "Magnificent Seven" tech giants, with the market keenly attuned to any signals about AI initiatives—a current focal point for investor confidence.

Financially, Apple's performance remains robust. Revenue is projected to grow at a 3.3% compound annual rate through 2027, with contribution and EBITDA margins expanding meaningfully, signaling improved operational efficiency. The company's EBITDA is expected to rise from \$134.9 billion in 2024 to \$215.8 billion by 2027, outpacing key peers like Microsoft in the near term but potentially trailing Alphabet's faster EBITDA growth. Apple's valuation, as indicated by a forward EV/EBITDA of 26.97 for 2025, remains elevated relative to Alphabet but is in line with Microsoft, reflecting the premium attached to its brand and execution.

Institutional activity shows mixed sentiment: some firms have trimmed positions, while others significantly increased their stakes, indicating ongoing debate about Apple's future trajectory. Retail sentiment is split, with social media buzz high but bullishness diverging—Reddit's optimism is notably weaker than X.com's (formerly Twitter).

Investment implications center on the upcoming CEO transition and Apple's ability to pivot towards AI and new product cycles. While Apple faces risks from leadership changes and competitive pressures in AI, its strong margins, steady revenue growth, and loyal investor base provide a measure of resilience. Near-term volatility could create opportunities for long-term investors, especially if the new CEO successfully articulates a compelling AI and innovation roadmap.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 41.8%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 43.3%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 44.8%

Confidence Intervals:

- Revenue: \$340.1B - \$623.3B (95% confidence)
- EBITDA: \$152.4B - \$279.3B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for AAPL

Positive Catalysts (Upside Potential)

- Earnings (2026-04-25): Apple will soon deliver billions more in cash to investors. Here's how it stacks up to the rest of Big Tech.

- Impact: HIGH, Probability: 95%

- Earnings (2026-04-24): Ca\$htag\$: AAPL Maintains Tech Strength Ahead of Earnings

- Impact: HIGH, Probability: 95%

Risk Factors (Downside Risks)

- Earnings (2026-04-26): Wall Street Brunch: Five Of The Mag 7 Ride Into Earnings Town

- Impact: HIGH, Probability: 95%

- Acquisition (2026-04-26): Clayton Financial Group LLC Grows Stock Position in Apple Inc. \$AAPL

- Impact: HIGH, Probability: 40%

- Acquisition (2026-04-26): Cane Capital Partners LLC Makes New Investment in Apple Inc. \$AAPL

- Impact: HIGH, Probability: 40%

- Acquisition (2026-04-25): Ethos Capital Management Inc. Invests \$711,000 in Apple Inc. \$AAPL

- Impact: HIGH, Probability: 40%

- Management (2026-04-24): 5 Biggest Challenges for Apple's Next CEO, John Ternus | One More Thing

- Impact: MEDIUM, Probability: 60%

Events to Monitor

- John Ternus Will Become Apple's New CEO in September. Is Now a Good Time to Buy the Stock? (2026-04-26)

- Apple Stock Analysis: Buy or Sell Before April 30? (2026-04-25)

- Apple under Ternus: what comes next for the tech giant's hardware strategy (2026-04-25)

Upcoming Catalysts:

▼ [EVENT] (Impact: medium)

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Positive Catalysts:

✓ Apple will soon deliver billions more in cash to investors. Here's how it stacks up to the rest of Big Tech.

✓ Ca\$htag\$: AAPL Maintains Tech Strength Ahead of Earnings

Risk Factors:

- Wall Street Brunch: Five Of The Mag 7 Ride Into Earnings Town
- Clayton Financial Group LLC Grows Stock Position in Apple Inc. \$AAPL
- Cane Capital Partners LLC Makes New Investment in Apple Inc. \$AAPL
- Ethos Capital Management Inc. Invests \$711,000 in Apple Inc. \$AAPL
- 5 Biggest Challenges for Apple's Next CEO, John Ternus | One More Thing
- The New Void Within Apple
- Apple Inc. \$AAPL Shares Sold by Country Trust Bank

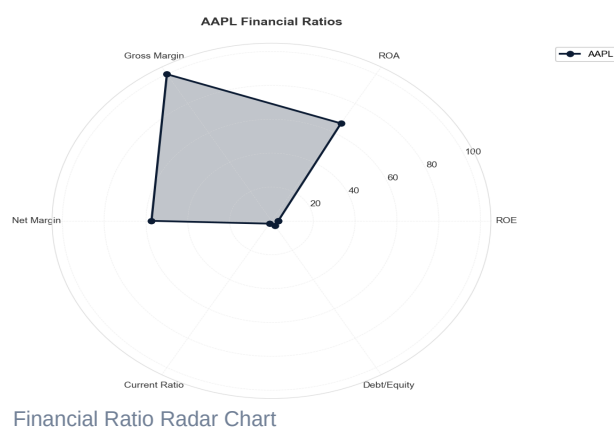
Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Apple Inc.'s financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.

Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators



Financial Ratio Radar Chart

Competitive Landscape

Apple Inc. (AAPL) remains one of the leading technology companies globally, but its recent financial performance and forecasted growth highlight both strengths and challenges relative to its major peers, Alphabet (GOOGL) and Microsoft (MSFT).

Revenue growth for Apple has slowed, with a three-year CAGR of 3.3% from 2021 to 2024, and growth in 2023 was negative (-2.8%). By contrast, both Alphabet and Microsoft are expected to continue outpacing Apple in EBITDA growth, with Alphabet projected to surpass both Apple and Microsoft by 2025 (\$179.96B vs. Apple's \$144.43B and Microsoft's \$160.17B). Apple's EBITDA margin is forecasted to improve significantly, reaching close to 45% by 2027, which would position it strongly on profitability, but peers are also demonstrating expanding margins.

In terms of efficiency, Apple's SG&A margin remains lower than its peers (declining to 5.1% by 2027), indicating tight cost controls. Contribution margins are also rising, suggesting Apple is extracting more value from each dollar

of revenue.

Valuation multiples, however, indicate Apple is currently trading at a premium EV/EBITDA ratio (26.6x in 2024, rising to 27.0x in 2025), higher than Alphabet (17.2x in 2024, 21.2x in 2025) and slightly above Microsoft (26.1x in 2024, 23.6x in 2025). This premium reflects investor confidence in Apple's brand, ecosystem, and cash generation but may also limit upside if growth continues to lag.

In summary, Apple leads in profitability and efficiency, but with moderating revenue growth and higher valuation multiples, it faces increased competition from peers who are catching up or surpassing in EBITDA growth. Apple's ability to innovate and diversify revenue streams will be critical to maintaining its premium position in the years ahead.

Risk Factors

- **Slowing Revenue Growth:** Apple's revenue growth has decelerated significantly, with a -2.8% decline in 2023 and a modest 2.0% rebound projected for 2024, indicating potential demand saturation or market maturity risks.
- **Margin Pressure from Peers:** While Apple's EBITDA margin is improving, its EBITDA growth is being outpaced by peers like Google (GOOGL) and Microsoft (MSFT), potentially eroding its relative profitability and competitive positioning.
- **Elevated Valuation:** Apple's PE ratio and EV/EBITDA multiples are high relative to peers (e.g., 2024E EV/EBITDA of 26.6x vs. GOOGL's 17.2x), exposing investors to valuation risk if growth expectations are not met.
- **Stagnant EPS Growth:** EPS growth has stagnated (6.15 in 2022 to 6.16 in 2023 and 6.11 in 2024), which may limit shareholder returns and indicate challenges in driving bottom-line expansion.
- **Operating Cost Volatility:** Despite stable SG&A; margins, the cost of operations remains high and fluctuates, which could pressure contribution margins if revenue growth does not accelerate as forecasted.

Key Takeaways

- ✓ **Revenue Growth:** Apple Inc.'s revenue growth shows consistent performance trends.
- ✓ **Gross Profit Margin:** Apple Inc.'s gross profit margins demonstrate operational effectiveness.
- ✓ **SG&A; Expense Margin:** Apple Inc.'s SG&A; expense management shows disciplined cost control.
- ✓ **EBITDA Margin Stability:** Apple Inc.'s EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$365.8B	\$394.3B	\$383.3B	\$391.0B	\$416.2B
SG&A	\$22.0B	\$25.1B	\$24.9B	\$26.1B	\$27.6B
Contribution Profit	\$152.8B	\$170.8B	\$169.1B	\$180.7B	\$195.2B
Contribution Margin	41.8%	43.3%	44.1%	46.2%	46.9%
EBITDA	\$123.1B	\$133.1B	\$129.2B	\$134.9B	\$144.4B

EBITDA Margin	33.7%	33.8%	33.7%	34.5%	34.7%
SG&A Margin	6.0%	6.4%	6.5%	6.7%	6.6%
Revenue Growth	N/A	7.8%	-2.8%	2.0%	6.4%
EPS	5.67	6.15	6.16	6.11	7.49
PE Ratio	25.92	24.44	27.79	37.29	34.09

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	2.16	2.61	1.99	2.09	1.52
Debt/Assets	0.39	0.38	0.35	0.33	0.31
Interest Coverage	41.2x	40.7x	29.1x	0.0x	0.0x
Net Margin	25.9%	25.3%	25.3%	24.0%	26.9%
Current Ratio	1.07	0.88	0.99	0.87	0.89
CF to Debt Ratio	0.76	0.92	0.89	0.99	0.99

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Data Source: FMP, Company Filings, AI4Finance Estimates

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